

HoneyNest — FY27 Annual Brand Plan

Defending a \$94M kids-sweet brand in a declining segment: hold share, cull the tail, lift margin

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Owner Brand Manager — HoneyNest
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Brand net revenue (FY25)	\$94M — Acme's kids-sweet franchise
Segment (Kids Sweet)	\$1.41B, -2.8% YoY — declining
FY26 run-rate vs plan	-1.1% (on plan)
Macro headwind	'Kid-cereal mom-guilt' 0.68, Down
FY27 posture	Defend core · SKU cull · better-for-you reposition

Executive summary

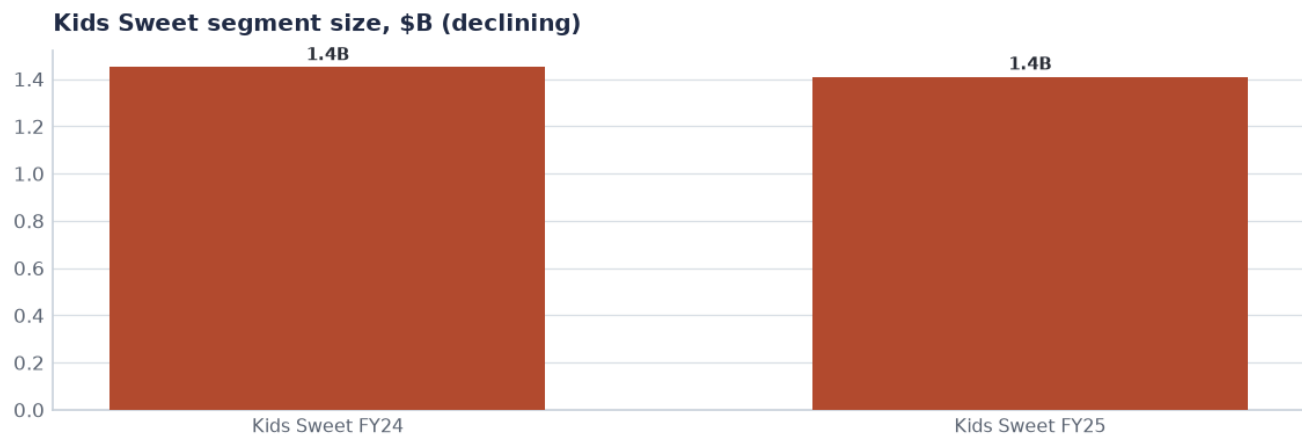
HoneyNest is a \$94M kids-sweet brand doing a hard job well: holding its position in a structurally declining segment. Kids Sweet fell -2.8% in FY25 to \$1.41B and is pressured by a durable consumer shift — 'kid-cereal mom-guilt' (macro strength 0.68, trending down). Against that, HoneyNest is running on plan (-1.1% in Q1 FY26). The FY27 plan is therefore not a growth story; it is a disciplined defence — protect the core equity SKUs, rationalise a long tail of low-ACV products, run a single high-return LTO, and begin a credible better-for-you reposition that gives the brand a reason to exist as the segment shrinks. The FY27 target is roughly flat-to-slightly-down net revenue, share held, with margin improved by the SKU cull.

- **The market is the story:** Kids Sweet \$1.45B → \$1.41B (-2.8%), a worsening decline (FY24 was -1.2%). This is a defend-and-optimise segment, not a grow one.
- **On plan today:** Q1 FY26 net revenue \$20.2M vs \$20.4M plan (-1.1%). The brand is executing; the constraint is the category.
- **Cut the tail:** discontinue HoneyNest Granola Crunch (HN011, 18% ACV) and Cookie Dough (HN012, 12% ACV) in Q3 FY26 — both confirmed. Redirect the shelf and A&P to the core.
- **Earn a future:** Birthday Cake LTO in Q4 (\$2.4M, planning estimate) for buzz, and a Stage-1 better-for-you concept — HoneyNest Plus Whole Grain (\$4M) — to test a mom-guilt answer.

1 · Where HoneyNest plays — a declining segment

BRAND NET REVENUE	SEGMENT SIZE	ACME SEGMENT SHARE	FY26 VS PLAN	MOM-GUILT MACRO
\$94M FY25, 12 SKUs	\$1.41B -2.8% YoY	5.1% Kids Sweet	-1.1% on plan	0.68 Down (kids)

The strategic frame is simple and it is set by the category, not the brand. Kids Sweet is in a durable dollar decline — -1.2% in FY24, worsening to -2.8% in FY25 — driven by fewer kids at the breakfast table for sugary cereal and by parents' guilt about serving it. HoneyNest holds 5.1% of that shrinking segment. A brand in this position wins by taking share of a smaller pie profitably and by finding an adjacent reason to exist, not by out-spending a secular decline.



Kids Sweet dollars: FY24 → FY25 down −2.8%, worsening from −1.2% the prior year. The segment is in secular decline, not a cyclical dip.

Source: category_market_size.csv (NielsenIQ-shape), RTE Cereal / Kids Sweet, FY24–Q1FY26.

2 · FY27 strategy — defend, cull, reposition

Three moves: protect the equity core, rationalise the tail for margin, and plant a better-for-you flag.

2.1 · Defend the core

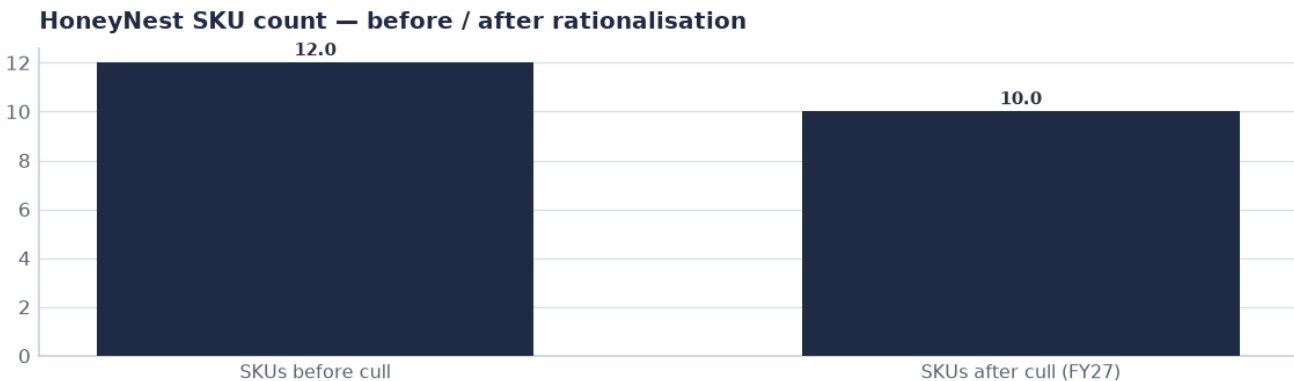
Nine of HoneyNest's twelve SKUs are genuine equity assets — Original (HN001, 72% ACV), Chocolate, Mega, Strawberry — carrying the brand's ~82% aided awareness. The FY27 plan protects them: hold distribution, keep the modest A&P behind the hero SKUs, and defend facings against private label. No heroics; steady execution to hold share as the segment contracts.

2.2 · SKU rationalisation — cut the tail

SKU	FY25 rev	ACV	Action	Timing
HoneyNest Granola Crunch (HN011)	\$1.4M	18%	Discontinue	Q3 FY26
HoneyNest Cookie Dough (HN012)	\$1.0M	12%	Discontinue	Q3 FY26

Source: *skus.csv* (HN011/HN012, status 'Delist Q3 2026'); *innovation_pipeline.csv* (INV024, INV025, confirmed).

Both delist SKUs are confirmed for Q3 FY26. Together they are ~\$2.4M of low-velocity, low-ACV revenue that consumes shelf, complexity and trade dollars out of proportion to their contribution. Culling them lifts portfolio margin, frees facings for the core, and simplifies the trade calendar — the primary FY27 margin lever. The revenue is small enough that share is defensible without it.



12 → 10 active SKUs. Fewer, healthier lines; margin and shelf redirected to the core.

2.3 · Reposition — a better-for-you flag

The only durable answer to mom-guilt is a better-for-you proposition. FY27 plants two seeds. The **Birthday Cake LTO** (HN008 line, Stage-4 Pre-Launch, \$2.4M year-one planning estimate, Q4 FY26) buys near-term buzz and nostalgia at low risk. More strategically, **HoneyNest Plus Whole Grain** — a heart-health kid range (Stage-1 Idea, \$4M planning estimate, confidence 0.31) — tests whether the brand can credibly carry a whole-grain, mom-permission message. It is early and unproven; FY27 funds concept and screening, not a launch. Treated as an option on the brand's future, not a bet.

3 · The FY27 plan — numbers & phasing

The FY27 target is deliberately modest and honest: roughly flat-to-slightly-down net revenue against FY26, share held in Kids Sweet, and improved brand margin from the SKU cull and a leaner trade calendar. In a segment declining ~3% a year, holding share while lifting margin is the win. All FY27 figures below are targets / planning estimates.

Metric	FY26 (est. actual)	FY27 (target)	Note
Net revenue	~\$92M	~\$90–92M	Flat-to-slightly-down; defend
Kids Sweet share	~5.0%	Hold ~5.0%	Share of a shrinking segment
Active SKUs	12	10	HN011 + HN012 delisted Q3 FY26
Brand margin	Baseline	+ (tail cull)	Primary FY27 lever

Source: plan_vs_actual (FY26 run-rate); skus.csv; category_market_size.csv. FY27 column = targets/plan.

Plan phasing — FY27

Quarter	Focus
Q3 FY26 (pre-FY27 setup)	Execute HN011 + HN012 delist; redirect shelf & trade to core
Q4 FY26 → FY27 Q1	Birthday Cake LTO in market; measure buzz & incremental lift
FY27 H1	Defend core distribution & facings; hold share; lean trade calendar
FY27 H2	Advance HoneyNest Plus Whole Grain concept & screening; go/no-go gate

The risk is over-investing behind a declining segment

The wrong move is to chase kids-sweet growth with spend. The category is in secular decline (mom-guilt 0.68, Down); Great Value private label presses on price. FY27 discipline is to defend efficiently, cull aggressively, and treat the better-for-you reposition as a low-cost option — not to spend our way against a shrinking pie.

Recommendations & next steps

#	Action	Owner	When
1	Execute the HN011 + HN012 delist in Q3 FY26; redirect shelf, trade and A&P; to the core nine SKUs.	Brand Manager — HoneyNest	Q3 FY26
2	Run the Birthday Cake LTO in Q4; measure incremental lift as a template for future LTOs.	Lillian Park	Q4 FY26
3	Hold Kids Sweet share and lift brand margin via the tail cull and a leaner trade calendar.	Brand Manager / Finance	FY27
4	Advance HoneyNest Plus Whole Grain to a Stage-2 go/no-go on the mom-guilt / whole-grain thesis.	Lillian Park	FY27 H2